AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS (THEORY) 2025

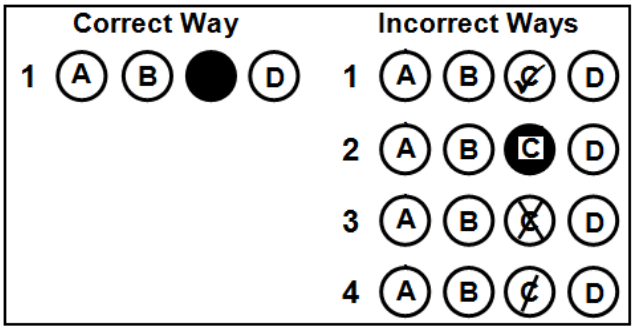
Business Studies Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. The workers of a factory stopped working after experiencing incidents of electric shocks while operating the packaging machine. The workers demanded that the electrical fittings be repaired to ensure their safety in the workplace.

   Based on the given scenario, the given industrial action is referred to as

   A. strike.
   B. go slow.
   C. picketing.
   D. work to rule.

2. Competent HR Consultancy is looking for a 'Head Cashier' for a financial institution. The ideal candidate must hold a bachelor's degree in commerce, be responsible for maintaining accounts and assisting clients. The candidate should be proficient in both English and Urdu, along with a strong command of MS Excel and Word. He/ she should also exhibit a cooperative attitude for teamwork and public interaction, in addition to being punctual and well-groomed.

   Based on the given scenario, the option that CORRECTLY distinguishes between job specification and job description is

	Job Specification	**Job Description**
A	bachelor's degree in commerce	responsible for maintaining accounts
B	assist clients	proficient in both English and Urdu
C	strong command of MS Excel and Word	cooperative attitude for teamwork
D	punctual	well-groomed

3. With reference to human resource management, which of the following situation depicts the concept of 'redundancy'?

   A. A person left his/ her job due to lacking the desired qualification
   B. A person lost his/ her job due to the changes in senior leadership
   C. A person lost his/ her job due to technical advancement and AI integration
   D. A person left his/ her job due to toxic working culture and behaviour of the manager

4. In a business organisation, the higher management engages in negotiations with the employees' union to discuss salary increase in response to rising inflation and additional workload.

   The given scenario is an example of

   A. wage criteria.
   B. industrial action.
   C. collective bargaining.
   D. workmen compensation.

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5. A business organisation announces the provision of pick-up and drop-off services for its female staff, along with the option for flexible working hours or work from home arrangements.

   With reference to human resource management, the given staff facility will create

   A. gender discrimination.
   B. worker protection.
   C. unfair dismissal.
   D. legal rights.

6. With reference to Herzberg's two factor theory, all of the following are motivators EXCEPT for

   A. promotion.
   B. recognition.
   C. work conditions.
   D. personal growth.

7. Jaffar, an entrepreneur, has achieved considerable success with his startup, enjoying financial security and a comfortable lifestyle. Despite these accomplishments, he frequently experiences a sense of dissatisfaction and strives for ongoing personal development and self-enhancement.

   According to Maslow's hierarchy, Jaffar is currently striving to fulfil his

   A. safety needs.
   B. self-actualisation.
   C. physiological needs.
   D. love and belongingness.

8. The PRIMARY purpose of workers' compensation while working in a business firm is to

   A. provide paid vacations to employees for relaxation.
   B. encourage employees to work longer hours for overtime wages.
   C. offer salary raise to high-performing employees for their motivation.
   D. provide financial assistance and medical benefits to employees in case of injury.

9. Shahrzad used to enjoy his job as a content writer, but now feels unappreciated due to lack of recognition, increase workload and stagnant salary. As a result, he is considering quitting his job.

   According to Frederick Winslow Taylor's, Shahrzad should be

   A. micromanaged in his work.
   B. offered a higher salary package.
   C. pressurised and stressed in his job.
   D. given more respect and appreciation.

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10. A manager introduces two different approaches to enhance the job experience of his/ her subordinates:

Approach 1	Assigns additional tasks related to social media management, graphic design and content creation to broaden the scope of the job role
Approach 2	Gives more responsibility and autonomy over the current tasks, such as leading marketing campaigns, collaborating directly with clients and making decisions regarding campaign strategies

With reference to the method of motivation through job design, the given approaches are categorised as

	Approach 1	**Approach 2**
A	job enlargement	job enrichment
B	job rotation	job empowerment
C	job enrichment	job enlargement
D	job empowerment	job rotation

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11. Eco-Wood Furniture Company specialises in producing handmade eco-friendly furniture made from sustainably sourced materials.

The indirect cost for the Eco-Wood Furniture is the

A. cost of raw materials.
B. rent for the factory building.
C. wages of furniture craftsmen.
D. customised packaging materials of the furniture.

12. ABC Manufacturing Company is experiencing inefficiency in production, rising per-unit costs and diminishing returns.

With reference to the cost and scale of production of the business, the given situation depicts

A. economies of scale.
B. diseconomies of scale.
C. constant return to scale.
D. increasing return to scale.

13. A business is examining its production costs and revenue to determine its break-even point, which is reached when

A. total revenue is maximised.
B. total revenue exceeds total costs.
C. total costs equals to total revenue.
D. total costs are covered by additional revenue.

14. The given data of cost is extracted from the records of a printing business.

S.No.	Particulars of the Cost	Amount (Rs)
1	Raw material consumed	90,000
2	Wages paid to workers	35,000
3	Power charges (Electricity consumed in production)	7,500
4	Salary of security guard	12,500
5	Rent of the factory	100,000
6	Packaging material	25,000

The fixed cost of the printing business would be

A. Rs 112,500
B. Rs 135,000
C. Rs 147,500
D. Rs 160,000

15. The term 'supply chain management' (SCM) covers all activities of a firm that are related to the management of the

A. process of marketing and advertising of a product.
B. expenditure which occurred during the process of production and generated sales revenue.
C. communication from senior leadership to all employees during the process of production.
D. flow of goods and services involving all processes of transformation of raw materials to final products.

16. Which of the following represents a potential demerit of maintaining high quality in production for businesses?

A. Higher production costs
B. Reduced product returns
C. Improved brand reputation
D. Decreased employee turnover rate

17. K Departmental store, renowned for its range of kids' products, intends to launch an e-store to serve customers nationwide. To accomplish this goal, they are seeking a supply chain expert.

With reference to the given situation, the PRIMARY responsibility of supply chain expert is to

A. reduce the number of suppliers used.
B. minimise the cost of transportation.
C. ensure the steady supply of goods.
D. maximise company's profits.

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18. The formula to calculate gross profit margin in business is

A. (revenue – total cost) ÷ revenue
B. (revenue – total cost) × revenue
C. (revenue – cost of goods sold) × revenue
D. (revenue – cost of goods sold) ÷ revenue

19. Which of the following business transactions depicts the cash inflow in the business?

A. Receiving sales return from a customer
B. Receiving purchase order from a vendor
C. Receiving new equipment from a supplier
D. Receiving payment from a customer against sales

20. The following information has been extracted from the record of Nadia Bridal store for the month ended March 31, 2018.

Account Title	Quantity	Rate per unit (Rs)
Dresses purchased on cash	50	400
Dresses sold for cash	45	600

The net cash flow of Nadia Bridal Store for the month of March will be

A. Rs 7,000
B. Rs 20,000
C. Rs 27,000
D. Rs 47,000

21. A financial ratio that measures a company's ability to pay off its short-term debts when they are due is

A. liquidity ratio.
B. solvency ratio.
C. profitability ratio.
D. debt to equity ratio.

22. A financial management tool that estimates a company's future cash level and financial position is

A. cash flow.
B. cash inflows.
C. cash outflows.
D. cash flow forecast.

23. The PRIMARY purpose of conducting an analysis of accounting ratios in financial analysis is to

A. calculate the total assets of a company.
B. evaluate the market share of a company.
C. determine the human resource requirement of a company.
D. assess the liquidity, solvency, efficiency and profitability of a company.

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24. Which of the following statements BEST distinguishes between cash flow and profit?

	Cash flow	Profit
A	Represents the inflow and outflow of cash into a business	Reflects the excess of revenues over expenses during a specific period
B	Measures the profitability of a business	Assesses the liquidity of a business
C	Refers to the total revenue earned by a business	Represents the total expenses incurred by a business
D	Reflects the financial health of a business	Indicates the operational efficiency of a business

25. Anna is an expert baker. She is planning to introduce her baked items and birthday cakes in the market. Which of the following is the MOST cost-effective marketing strategy for her products?

A. Hiring a renowned celebrity as a brand ambassador
B. Advertising through social media network
C. Publishing ads in the weekly newspapers
D. Setting up a shop in a supermarket

26. Rafiq is conducting a research for his B.Sc in Health Sciences programme. In his research, he is interviewing various owners of school canteens to explore information about the number of soft drinks being purchased by school children.

With reference to the type of data and research, the information gathered by Rafiq is

A. qualitative and primary.
B. quantitative and primary.
C. qualitative and secondary.
D. quantitative and secondary.

27. A marketing plan is BEST defined as an operational document that

A. covers all the business risks a business may face during the advertisement.
B. sums up all the direct and indirect expenses a business pays during an advertising campaign.
C. includes all the detailed features regarding the product manufactured and cost of production.
D. outlines an advertising strategy that an organisation will implement to generate leads and reach its target market.

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28. As an HR representative, you are tasked with conducting exit interviews (questionnaire based) for a department experiencing a sudden increase in its employee's turnover.

Based on the given situation, the introductory statement of these interviews would include

A. a list of open-ended questions.
B. a brief summary of personal experiences.
C. the purpose of the interview and assurance of confidentiality.
D. detailed information about the interviewer's personal background.

29. With reference to the features of SWOT analysis, the external environment that allows a business to formulate and implement strategies for increasing its profitability is known as its

A. opportunity.
B. weakness.
C. strength.
D. threat.

30. Which of the following highlights the importance of a SWOT analysis for a business?

A. It allows a company to avoid any risks entirely.
B. It identifies only external threats that could impact the company.
C. It ensures that a company will always outperform its competitors.
D. It helps a company understand its strengths, weaknesses, opportunities, and threats.

31. A tooth care company introduces a new toothpaste made from natural ingredients, free from chemicals and designed to promote both user health and environmental sustainability.

The KEY consideration in this marketing strategy for toothpaste to effectively reach out the larger consumers is to

A. target customers having dental issues.
B. offer the toothpaste at the lowest price.
C. distribute free samples to renowned dentists.
D. approach people who are environmentally conscious.

32. As time progresses, businesses undergo organisational change, which often introduces threats and challenges to the businesses.

The INTERNAL reason behind this organisational change in a business is

A. government policy and protocols.
B. to compete with market competitors.
C. the environmental and climatical change.
D. upgradation in the business by the management.

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33. In an organisation, employees are expressing their concerns to senior management about the technological changes the organisation plans to implement.

The factor that will contribute to the resistance to change in the organisation is

A. decrease in workload.
B. threat of future layoffs.
C. demotion of employees.
D. increase in productivity.

34. A government has imposed a value added tax of 8% on all the general items. The burden of the tax will be borne by the

A. retailers.
B. consumers.
C. wholesalers.
D. manufacturers.

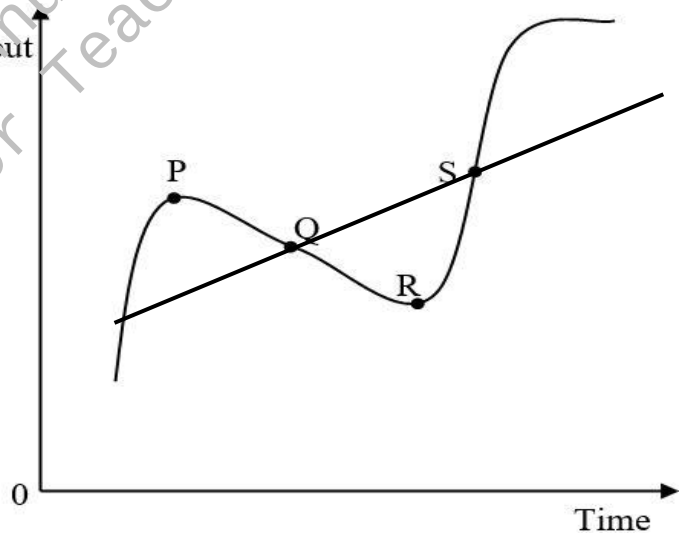
35. Deficit in the balance of payments (BoP) of a country forces the government to increase its exports.

If the government of a country wants to increase exports, then the MOST LIKELY measure to improve the deficit in the BoP would be to

A. enforce quota.
B. increase embargo.
C. reduce export duties.
D. increase import duties.

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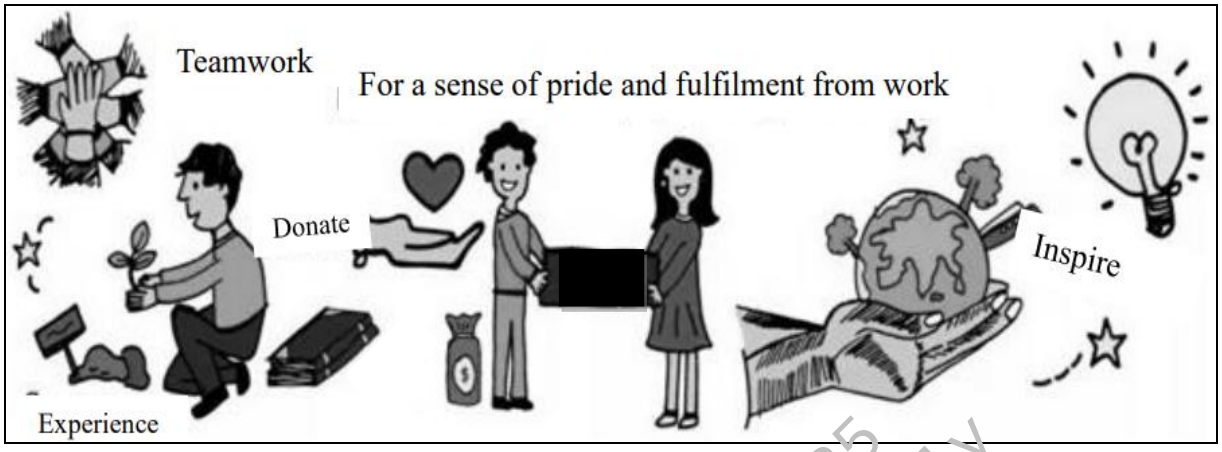
36. The given graph represents the business cycle of an economy.



Which of the given points on the graph represents the 'Phase of Recovery' of the economy?

A. P
B. Q
C. R
D. S

37. Consider the following image.



With reference to business ethics, the given image depicts

A. initial public offering (IPO).
B. creating shared values (CSV).
C. public private partnership (PPP).
D. corporate social responsibility (CSR).

38. The given image portrays a challenge of the period of early industrialisation.



With reference to the concept of externalities, the challenge arising from the overuse of animal-powered transport before the invention of automobiles is

A. spread of genetic disease.
B. over production of livestock.
C. deterioration of environment.
D. exploitation of natural resources.

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39. The following image depicts the logos of e-commerce business.



The PRIMARY focus of e-commerce is to

A. provide services and products to the general public through digital platform.
B. establish brand identity and recognition in the market.
C. sell products directly to individual consumers only.
D. serve the needs of undocumented economy.

40. Volunic, an audio device company specialising in audio gadgets, has chosen to expand into international markets by utilising e-commerce platforms such as Alibaba, Amazon and Daraz.

Based on the given scenario, globalisation provides an opportunity for Volunic by

A. reducing their potential customer base.
B. limiting their business operations to a single country.
C. encouraging them to focus exclusively on domestic sales.
D. opening up access to international markets and a larger customer pool.

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END OF PAPER

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